



EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

BUSINESS STUDIES

6897/01

Paper 1

SPECIMEN 2027-2029

Total marks: 80

Confidential

MARK SCHEME

Question Number	Answers or indicative content	Marks	Guidance
Busa owns a small poultry farm which produces eggs. There is a scarcity of eggs in his local community of Siteki. Busa is studying Eswatini's economic structure to identify more business opportunities for expansion. He thinks that he will have to operate his business through e-commerce so as to achieve more success. Busa wants to achieve business growth by supplying eggs country-wide in the next three years. One entrepreneur has advised Busa to consider introducing technological change in his business operations.			
1 (a)	Define 'scarcity' Assessment objectives: -Knowledge [2x1]: award 1 mark per feature of the definition of 'scarcity' Possible answer Where human needs and wants (k) exceed the available resources required to satisfy them (k) thus compelling people to make economic choices (k)	2	Note: 1 mark for a partially correct answer
1 (b)	Identify two sectors of Eswatini's economic structure Assessment objectives: Application [2x1] award one mark per example related to possible economic objectives for a country. Examples might include: - Primary sector - Secondary sector - Tertiary sector - Construction sector	2	Note: Points must relate to Eswatini
1 (c)	Explain two disadvantages to Busa of operating his business through e-commerce. Assessment objectives: Knowledge [2x1]- award 1 mark for each point Application [2x1]- award 1 mark for each relevant explanation Possible answers could include: - Lack of security in online transactions (k) thus customers might be afraid to buy from Busa (an) - Lack of internet access (k) hence Busa might not reach many potential customers (an) - Occurrence of site crashes (k) might prevent customers from doing business with Busa on certain days (an) - Lack of opportunity for customers to ascertain quality of the eggs before they buy (k) thus some customers might refuse to engage in transactions with Busa (an)	4	- Do not award a mark for analysis without application Note: Any two disadvantages of e-commerce

	- Shipping times might be lengthy (k) thus the eggs could lose quality before they reach distant customers (an) - A high number of conservative customers still exists (k) thus they prefer to buy from physical retail shops (an)		
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1 (d)	Explain two forms of external business growth that Busa could use to expand his business. Assessment objectives: Knowledge [2x1]- award 1 mark for each form of business identified Application [3x1] - award 1 mark for each form of business identified Analysis [3x1] - award 1 mark for each form of business identified Relevant points might include: - Horizontal merger (k) as Busa could acquire a competitor or his supplier (app) so as to increase market share for the egg business (an) - Backward vertical integration (app) as Busa could acquire a supplier of hens so as to control the selling price of the eggs(an) - Forward vertical (k) integration as Busa could acquire a customer business or retail shop (app) so as to have a ready market for his eggs (an) - Diversification (k) as Busa could acquire an unrelated business such as a bakery (app) in order to reduce the risk of over-investing in one industry(an)	6	- Each explanation should demonstrate knowledge, application, and analysis

1 (e)	Do you think that technological change could benefit Busa's poultry business? Justify your answer. Assessment objectives: Knowledge [1] – award 1 mark for identification of relevant issue(s) [max 1] Application [1] – award 1 mark if relevant reference made to this business Analysis [2] – award up to 2 marks for relevant development of point(s) Evaluation [2] – justified decision as to whether or not technical change could benefit Busa's business. Either viewpoint is acceptable. Valid positive points: • More effective marketing of the eggs (k) as new internet technology enables Busa's business to reach wider audience within a short period of time (an) • More efficient production as introduction of automated poultry feeding system (k) could reduce the hens' mortality rate (an) Valid negative points: • Reduced market access (k) as some potential customers might not be familiar with e-commerce (an) • Low security (k) as criminals may hack Busa's business website and access secret information to commit fraud (an) Positive Judgment: new technology could help Busa to reduce number of poultry feeders thus making savings on wages and salaries (2ev) Or Negative Judgment: costs of conducting online business could be costly for Busa thus loss of income (2ev)	6	Note: The essay should be argumentative and contain a well justified stand.
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Question Number	Answers or indicative content	Marks	Guidance
Pearl is a clothing designer of suits for rich male customers. The business uses a product-oriented approach to produce the expensive clothing. Pearl's revenue generated in the past two years suggests that the business has been affected by product life cycle stages. She has observed that the units sold are below the targeted break-even point. Pearl thinks that she needs to produce different types of products to cater for more market segments. In support of her idea, Pearl's workers have suggested a change from job production towards batch production.			
2(a)	Define 'product-oriented approach'. Assessment objectives: -Knowledge [2x1]: award 1 mark per feature of the definition of 'external costs' Possible answer • A marketing method where the business focuses on developing quality products (k) without considering the views of customers (k) • A practice of trying to develop new quality products (k) before conducting market research(k)	2	Note: 1 mark for a partially correct answer
2(b)	State two product life cycle stages that Pearl's business might have been affected by. Assessment objectives: Application [2x1] award one mark per example related to possible a product life cycle. Examples might include: • introduction • growth • maturity • decline	2	Note: Points must relate to any of the 4 stages of the product life cycle
2 (c)	Explain two uses of the break-even analysis to Pearl. Assessment objectives: Knowledge [2x1]- award 1 mark for each point Application [2x1]- award 1 mark for each relevant explanation Possible answers could include: • To determine a price level which exceeds the average cost of producing each unit clothing (k) so as to achieve the target profit per unit sold (an) • To determine the quantity of shirts to be produced (k) thus enabling Pearl to recover the total cost of investing in the clothing business (an)	4	- Do not award a mark for analysis without application Note: Any two uses of the breakeven analysis must be well explained

	- To ascertain the level of fixed and variable costs in developing the clothes (k) in order to keep production costs low thus maintaining the profitability of the business (an) - To decide whether or not to continue offering the clothing design service (k) based on the possibility to make high revenue and profits the clothing business (an)		
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Question Number	Answers or indicative content	Marks	Guidance
2 (d)	Explain two possible clothing products which Pearl might want to develop for her new market segments. Assessment objectives: Application [3x1] - award 1 mark for each advantage identified Analysis [3x1] - award 1 mark for each relevant explanation Relevant points might include: - Design uniforms for security forces (k) so as to ensure availability of a steady market (app) thus diversifying the risk associated with changing demand for fashionable clothes (an) ((Lifestyle) - Design clothing brands for the general clothing retail shops (k) (app) so as to maximise revenue from the mass market (k), (an) - Gender related products (k) so as to supply small clothing retailers (app) supplying clothing lines exclusively to men and women or both (an) - Age-related products (k) so as to develop clothing lines for retailers specialising in servicing the large children's market (app) for infants, toddlers, teenagers and adults (an)	6	Note: Candidates may select any segments outside the rich male expensive clothing

2 (e)	Do you think that batch production could improve the performance of Pearl's business? Justify your answer. Assessment objectives: Knowledge [1] – award 1 mark for identification of relevant issue(s) [max 1] Application [1] – award 1 mark if relevant reference made to this business Analysis [2] – award up to 2 marks for relevant development of point(s) Evaluation [2] – justified decision as to whether or not batch production could improve the performance of Pearl's business, either viewpoint is acceptable. Valid positive points: • cost per unit is not too high because products are made in batches(k) since more can be produced, economies of scale can be achieved(an) • production needs to be flexible (k) as tailors can make changes quickly to adjust to different market segments (an) Valid negative points: • products that are not of good quality can lead to high production costs (k) as more fabric (app) is used to produce batches of standardised products (an) • longer lead time (k) as a number of units are produced (an) Positive Judgment: batch production does not need highly skilled workers as in job production which might reduce the cost of production (2ev) Or Negative Judgment: the lack of uniqueness of a product to a customer may reduce customer satisfaction (2ev).	6	Note: The essay should be argumentative and contain a well justified stand.
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Question Number	Answers or indicative content	Marks	Guidance
QueBev is a private limited company. It specialises in the production of non-alcoholic drinks, such as yoghurt. The business motivates its workers by focusing on their social needs. Vuli, the CEO, thinks the company should also try to satisfy workers' esteem needs. Vuli needs to think of suitable interview questions for the recruitment of a human resource officer. Recently QueBev joined an employers' association. Some members of the association have suggested to Vuli that a private limited company is not the best form of business organisation for QueBev.			
3 (a)	Define 'social needs' Assessment objectives: -Knowledge [2x1]: award 1 mark per feature of the definition of 'social needs' Possible answer • The desire for a worker to develop healthy relationships with others in the workplace (k) in order to reduce stress (k) • A general wish for workers to develop friendships within the workplace (k) to improve their wellbeing (k)	2	Note: 1 mark for a partially correct answer
3 (b)	State two ways the workers' esteem needs could be satisfied at QueBev. Assessment objectives: Application [2x1] award one mark per correct way the workers' esteem needs could be satisfied Ways might include: • celebrating work anniversaries • recognition of good work • chance for training • prioritise employee health • gift cards	2	

3 (c)	Explain two interview questions that Vuli could use for the recruitment of the human resource officer. Assessment objectives: Knowledge [2x1]- award 1 mark for each point Application [2x1]- award 1 mark for each relevant explanation Possible answers could include: • Why should we hire you? (k) So that the employer would know if the candidate is suitable for the job advertised in terms of his /her track record, experience, qualifications and unique skills he/she has for the job (an) • What are your weaknesses? (k) So that the employer would know what kind of further training or development the candidate would require once employed (an) • What salary are you seeking? (k) So that the employer would determine if the candidate would accept the salary offered for the vacant post (an) • Why do you want to work here? (k) So that the employer if the employer knows the business and would fit in its culture (an)	4	- Do not award a mark for analysis without application
Question Number	Answers or indicative content	Marks	Guidance
3 (d)	Explain two possible objectives of the employers' association that might have influenced QueBev to join it. Assessment objectives: Application [3x1] - award 1 mark for each advantage identified Analysis [3x1] - award 1 mark for each relevant explanation Relevant points might include: • Improved collective bargaining power (k) as the employers' association would negotiate with trade unions on behalf of its members (app) thus helping QueBev to reach fair collective agreements (app) with the workers (an) • Gained professional advice (k) as the employers' association would advise members on the country's labour laws (app) thus assisting QueBev to maintain peace with the workers (an) • Increased power to influence the state (k) as the employers' association would use the collective strength of its members (app) to negotiate favourable corporate tax with government (an)	6	Note: Each answer must: - state a relevant point (k) - link stated point to the basic function of an employer's association (app) and; - state ultimate benefit to the employer (an)

3 (e)	Do you think the private limited company form of business organisation is the best one for QueBev? Justify your answer. Knowledge [1] – award 1 mark for identification of relevant issue(s) [max 1] Application [1] – award 1 mark if relevant reference made to this business Analysis [2] – award up to 2 marks for relevant development of point(s) Evaluation [2] – justified decision as to whether or not would not achieve great success while trading as a private limited company. Either viewpoint is acceptable. Valid positive points: • Limited liability(k) as shareholders of a private limited company are not personally liable for the business's debts (an) • Fewer formalities (k) thus owners can run the business exactly as they want without being restricted by corporate regulations (an) Valid negative points: • More leadership responsibility (k) as shareholders can participate in daily operations thus preventing managers from working freely (an) • Difficulty in raising capital (k) as shares in a private limited company cannot be sold to the public (an) Positive Judgment: More shareholder control as owners who want to leave the private limited company cannot sell shares to outsiders thus preventing a takeover (2ev) Or Negative Judgment: Owners can be taxed twice as the entity and shareholders can be taxed separately for income earned (2ev)	6	
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Question Number	Answers or indicative content	Marks	Guidance						
Yakho Hardware is a small hardware shop located in the rural town of Hluthi. Yakho Hardware measures the productivity of employees on the basis of monthly revenue generated. As the business is currently small, the budget for fixed costs is low. The owners plan to increase the profits of the business by expanding to other rural locations. Yakho Hardware purchases its stock from large urban hardware retailers which means that contribution margins are low. However, the owners of Yakho Hardware have decided to start buying stock directly from manufacturers in the near future.									
4 (a)	Define ‘monthly revenue’. Assessment objectives: -Knowledge [2x1]: award 1 mark per feature of the definition of ‘monthly revenue’ Possible answer • The amount of money a business expects to receive on a monthly basis (k) from customers for providing them with products or services (k).	2	Note: 1 mark for a partially correct answer						
4 (b)	State two examples of fixed costs in Yakho Hardware’s operations. Assessment objectives: Application [2x1] award one mark per example related to possible economic objectives for a country. Examples might include: <table><tr><td>Rent</td><td>Salaries</td></tr><tr><td>Electricity</td><td>Depreciation</td></tr><tr><td>Salaries</td><td>Interest expenses</td></tr></table>	Rent	Salaries	Electricity	Depreciation	Salaries	Interest expenses	2	
Rent	Salaries								
Electricity	Depreciation								
Salaries	Interest expenses								
4 (c)	Explain two reasons why Yakho Hardware prefers locating its shop in a rural area than a large town. Assessment objectives: Knowledge [2x1]- award 1 mark for each point Application [2x1]- award 1 mark for each relevant explanation Possible answers could include: • Cheaper rentals in rural areas (k) thus Yakho Hardware could make higher profit (an) • Availability of market (k) as there is less competition in rural towns (an) • Plenty of space (k) as rural towns are less congested (an) • Closer to timber processing factories (k) thus reduced transports costs (an) • Lower crime rate in rural areas (k) thus stock is secured (an) • Lower labour costs (k) as rural workers are not likely to demand higher wages due to low cost of living (an)	4	- Do not award a mark for analysis without application						

Question Number	Answers or indicative content	Marks	Guidance
4 (d)	Explain two advantages to Yakho Hardware of preparing a financial budget. Assessment objectives: Application [3x1] - award 1 mark for each advantage identified Analysis [3x1] - award 1 mark for each relevant explanation Relevant points might include: • Plan ahead (k) thus the business will be able to predict whether it will cover its following year expenses (app) as the expected income will be matched to expected expenses (an) • Set performance targets (k) management will be able to set what it wants to achieve with workers (app) in line with the overall strategic plan of the hardware (an) • See if targets are met (k) as the intended expenses are outlined, they indicate if the hardware will achieve its goal (app) if not appropriate action will be taken (an)	6	Note: Each answer must: - state a relevant point (k) - link stated point to the meaning of preparing a financial budget (app) and; - state ultimate effect on the business (an)
4 (e)	Do you think it would benefit Yakho Hardware to buy its stock directly from the manufacturers? Justify your answer. Assessment objectives: Knowledge [1] – award 1 mark for identification of relevant issue(s) [max 1] Application [1] – award 1 mark if relevant reference made to this business Analysis [2] – award up to 2 marks for relevant development of point(s) Evaluation [2] – justified decision as to whether or not MNCs benefit Eswatini's economy. Either viewpoint is acceptable. Valid positive points: • Reduced costs of purchasing material (k) as the middleman service expenses(app) are removed (an) • Improved business relations with suppliers (k) as Yakho Hardware can negotiate for better deals and support (an) Valid negative points: • Increased internal workload (k) as Yakho Hardware would need to hire a procurement specialist (app) to do the services usually done by the middleman (an) • Increased insurance cost (k) as the risk on goods transported would fall directly on Yakho Hardware (an)	6	Note: The essay should be argumentative and contain a well justified stand.

	Positive Judgment: Direct purchasing would enable Yakho Hardware to set lower prices thus attracting more customers (2ev) Or Negative Judgment: Manufacturers may require Yakho Hardware to purchase more stock to qualify for certain benefits thus creating an urge for unreasonable spend (2ev)		
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